

Circular 39 of 2022

19 September 2022

All Insurance Companies

All Pension Funds

Pension Fund Administrators

Insurance Council of Zimbabwe (ICZ)

Insurance Brokers Association of Zimbabwe (IBAZ)

Zimbabwe Association of Funeral Assurers

Zimbabwe Association of Pension Funds (ZAPF)

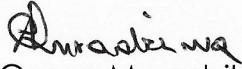
CIRCULAR 39 OF 2022 GOLD COIN INVESTMENT BY THE INSURANCE AND PENSIONS INDUSTRY

1. Following the introduction of the Gold coins, whose trading commenced on 25 July 2022, the Commission wishes to advise that insurers and pension funds now have an option to invest in such an asset.
2. Given that the gold coins have Prescribed Asset Status (PAS), investment in the instrument will improve PAS compliance levels.
3. In line with the Investment Guidelines (issued through Circular 1 of 2013 and Circular 2 of 2022), the upper limit investments in prescribed assets, including gold coins, remains at 40% of the asset portfolio.
4. To enable the Commission to track gold coins in the industry, you are requested to give monthly updates to the Commission as per the following format.

Name of Pension Fund/ Insurer	No. of Gold Coins Purchased	Purchase Price per gold coin (Specifying currency)	Date of Purchase	Number of Gold Coins sold (specifying currency)	No. of Gold Coins held as per the reporting Date	Value of Gold Coins held as per the reporting Date

5. The Commission will continue to monitor investment developments and stand ready to facilitate engagements with the Reserve Bank should the industry needs any clarity regarding this asset class.

Yours sincerely



Grace Muradzikwa

COMMISSIONER OF INSURANCE, PENSIONS AND PROVIDENT FUNDS